

STANDARD OPERATING PROCEDURE: FRAUD CATEGORIZATION & REPORTING

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Department: Fraud Risk Management Group (FRMG) & Internal Vigilance

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1. PURPOSE & SCOPE

To standardize the identification, classification, and regulatory reporting of fraudulent activities across HDFC Bank's digital, retail, and corporate ecosystems. This SOP integrates the **AI-driven EFRM solution** for real-time detection and automated **Fraud Monitoring Return (FMR)** filing.

2. FRAUD CATEGORIZATION MATRIX (RBI & INTERNAL MAPPING)

The AI engine categorizes incidents based on the Reserve Bank of India's mandatory classification codes, supplemented by HDFC-specific sub-categories.

Category Code	RBI Classification	HDFC Sub-Category / Indicators	Mandatory Evidence
B-01	Misappropriation & Criminal Breach of Trust	Cash shortages, unauthorized debits, "Mule" account operations.	CCTV footage, Cash-scroll logs, System audit trails.
B-02	Fraudulent Encashment / Forgery	Forged signatures on cheques, fake KYC documents, altered LCs.	Forensic lab report, Original instrument, KYC scan logs.
B-03	Manipulation of Books of Account	Window dressing of NPAs, fictitious entries in the General Ledger.	ERP entry logs, Audit reconciliation reports.
B-04	Unscrupulous Borrowing (Advances)	Fund diversion, siphoning of term loans,	Stock audit reports, EWS (Early Warning Signal) triggers.

		wilful default via shell companies.	
B-05	Digital & Cyber Fraud	Phishing, Vishing, SIM swapping, unauthorized UPI/Credit Card hits.	IP logs, CDR (Call Detail Records), Geo-location data.

3. OPERATIONAL WORKFLOW

Phase 1: AI Detection & Red Flagging (EWS)

- **Real-time Scan:** The AI engine (Nano-FRM) monitors the Core Banking System (CBS) and UPI switch for "Velocity Triggers" or "Out-of-Pattern" high-value transfers.
- **RFA Classification:** Accounts showing suspicious activity are tagged as **RFA (Red Flagged Account)**.
- **Confidence Score:** AI assigns a probability score (0.1–1.0). Scores > 0.8 trigger immediate account freeze ("P-Freeze").

Phase 2: Investigation & Natural Justice

- **Show-Cause Notice (SCN):** Per 2024 RBI mandates, the system automatically drafts an SCN if a person/entity is to be classified as "fraudulent."
- **Defense Window:** A mandatory **21-day period** is provided to the counterparty to respond, ensuring compliance with the Principles of Natural Justice.
- **Final Decision:** The **Fraud Monitoring Committee (FMC)** reviews the AI findings and human investigation to "Confirm" or "Close" the case.

Phase 3: Regulatory Reporting (FMR)

- **FMR-1 Filing:** Automated generation of the Fraud Monitoring Return.
- **Timeline:** Individual frauds must be reported to the RBI via the Central Fraud Registry (CFR) within **14 days** of classification.
- **Police/CBI Reporting:**
 - *Below ₹1 Crore:* Reported to State/UT Police.
 - *Above ₹1 Crore:* Reported to SFIO/Central Bureau of Investigation (CBI).

4. REPORTING & ESCALATION HIERARCHY

Impact Level	Threshold (INR)	Primary Authority	Reporting Body
Level 1	< 1 Lakh	Branch Head / Zonal Manager	FRMG Central Cell

Level 2	1 Lakh to 1 Crore	Chief Vigilance Officer (CVO)	RBI (FMR-1) & Local Police
Level 3	> 1 Crore	Fraud Monitoring Committee (FMC)	Board of Directors, RBI, SFIO/CBI

5. ANNEXURE GENERATION (AUTOMATED)

- **For B-04 (Advances):** Auto-drafts an "Application for Wilful Defaulter Tagging."
- **For B-05 (Cyber):** Auto-populates the "**Chakshu**" **Portal** template for Sanchar Saathi reporting.
- **Internal:** Generates the "Staff Accountability Report" for cases involving internal employee collusion.

Approved By: Board-Level Committee on Frauds

Custodian: Chief Risk Officer (CRO), HDFC Bank